

Business Management Systems

On Financing

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We respectfully acknowledge the Kaurna, Boandik, and Barngarla First Nations Peoples and their Elders past and present, who are the Traditional Owners of the lands that are home to our campuses across Adelaide and South Australia.

Outline

- The time value of money
- Project evaluation metrics
- Financial statements:
 - Balance Sheet
 - Income Statement
- Financial Health Metrics

The Value of Money vs. Time

- Let's look at a project scenario: a business needs to make a large capital investments need to be made prior to service provision
- Demand is not very high at the beginning: it increases gradually as service is introduced, but we expect the demand to continue to increase
- How do we make investment decisions:
 - High fixed cost of product development
 - High variable cost of sales and marketing
 - In return we expect to earn good cash flow...
- How do we take the effect of time to breaking even into account?

Example: Is This a Good Business?!

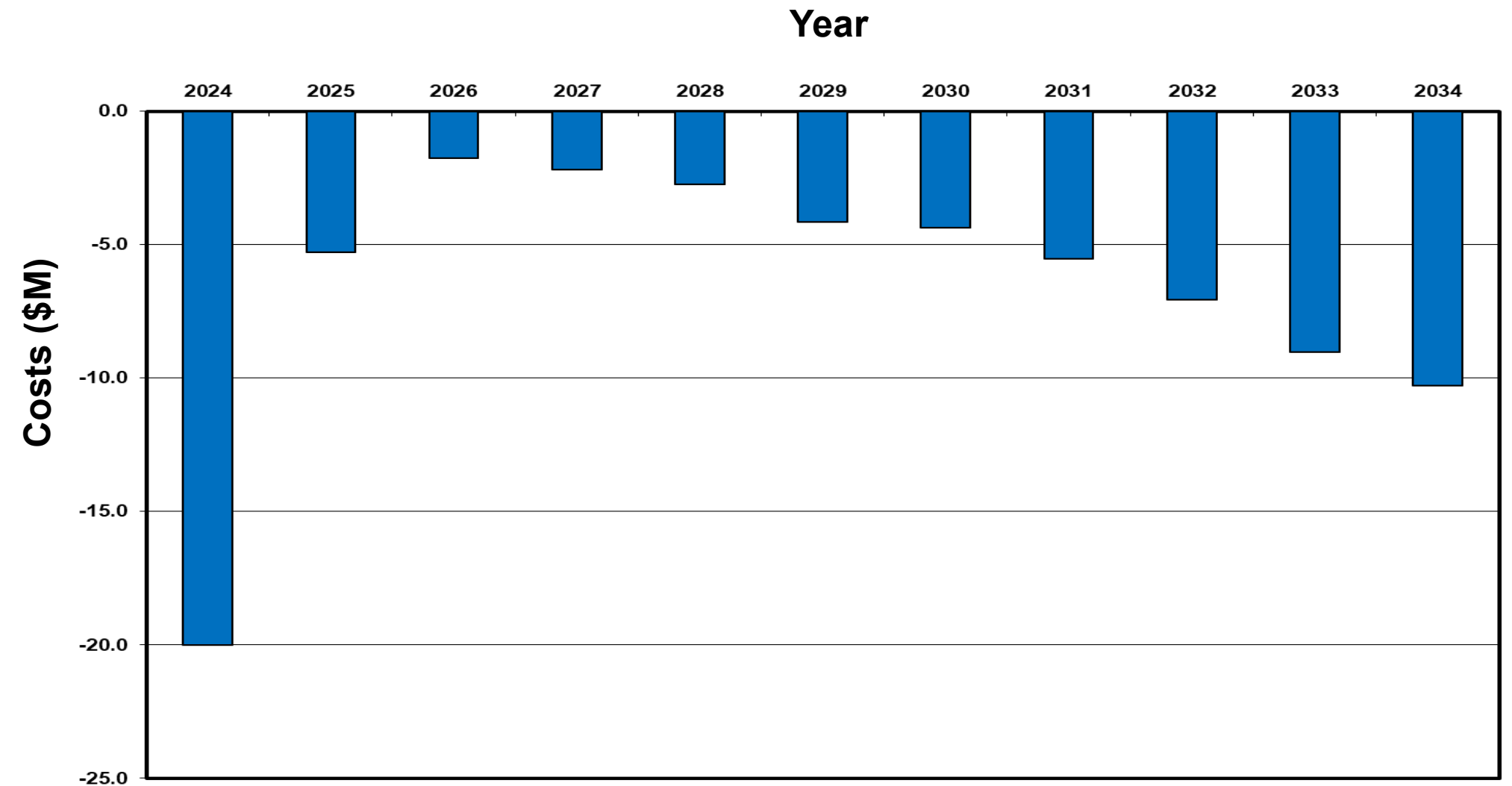
- A new operator starts business to provide internet services in Adelaide:
- Its business plans calls for:
 - 20000 initial subscriber number in 2024
 - Annual growth rate of 30% for a ten year period, with 10% churn
 - Customer Acquisition cost: \$250 per customer (e.g. advertising)
 - Initial capital cost: \$20M
 - Maintenance: \$0.3M per year, with full system overhaul of \$1M in 2029
 - Salvage value of capital equipment in 2034 = \$1M
 - Average annual revenue per customer: \$300

Answer!

- Well it depends!
- What does it depend on?

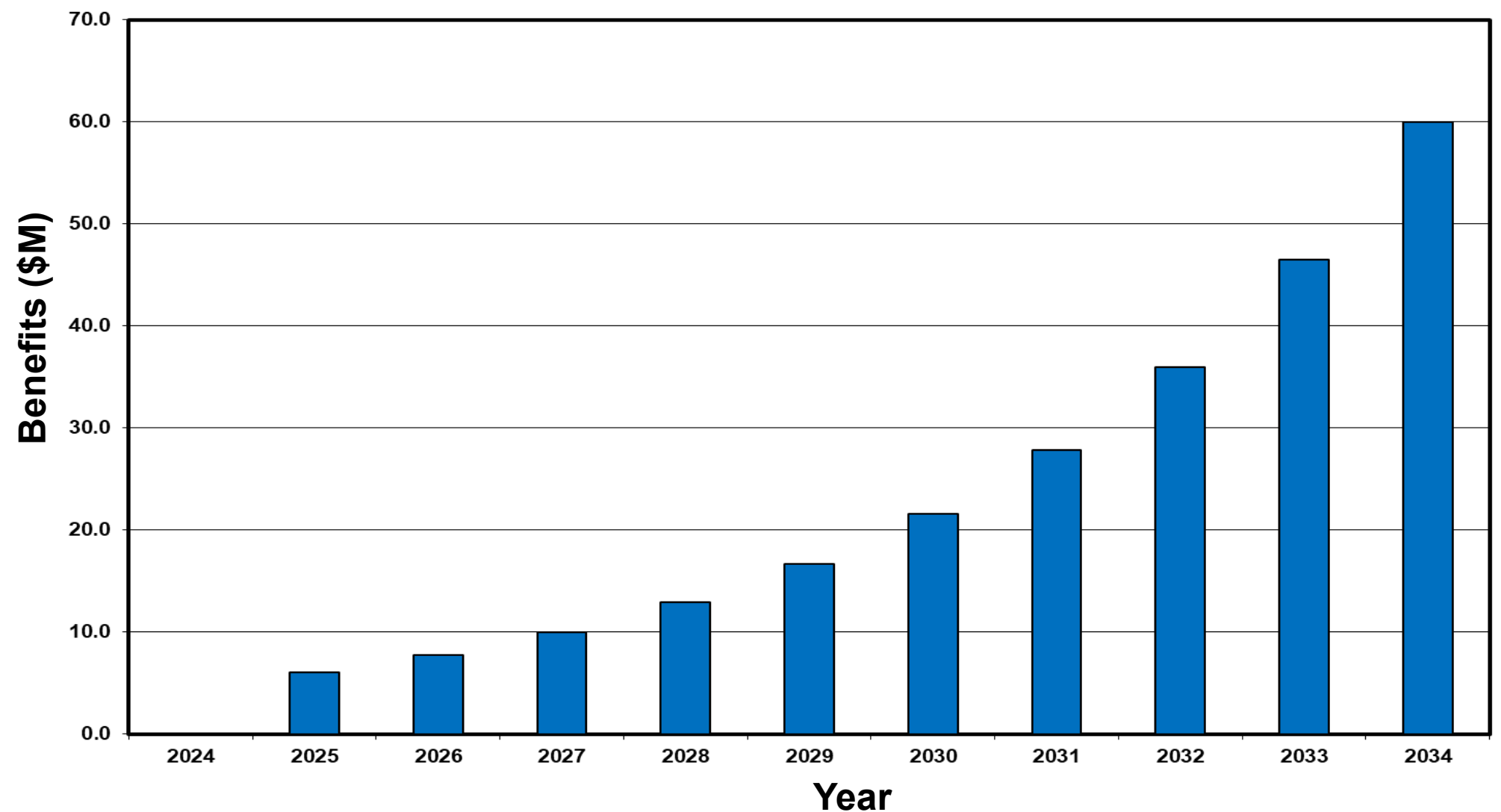
Costs

- Total costs can be drawn for the forecast period



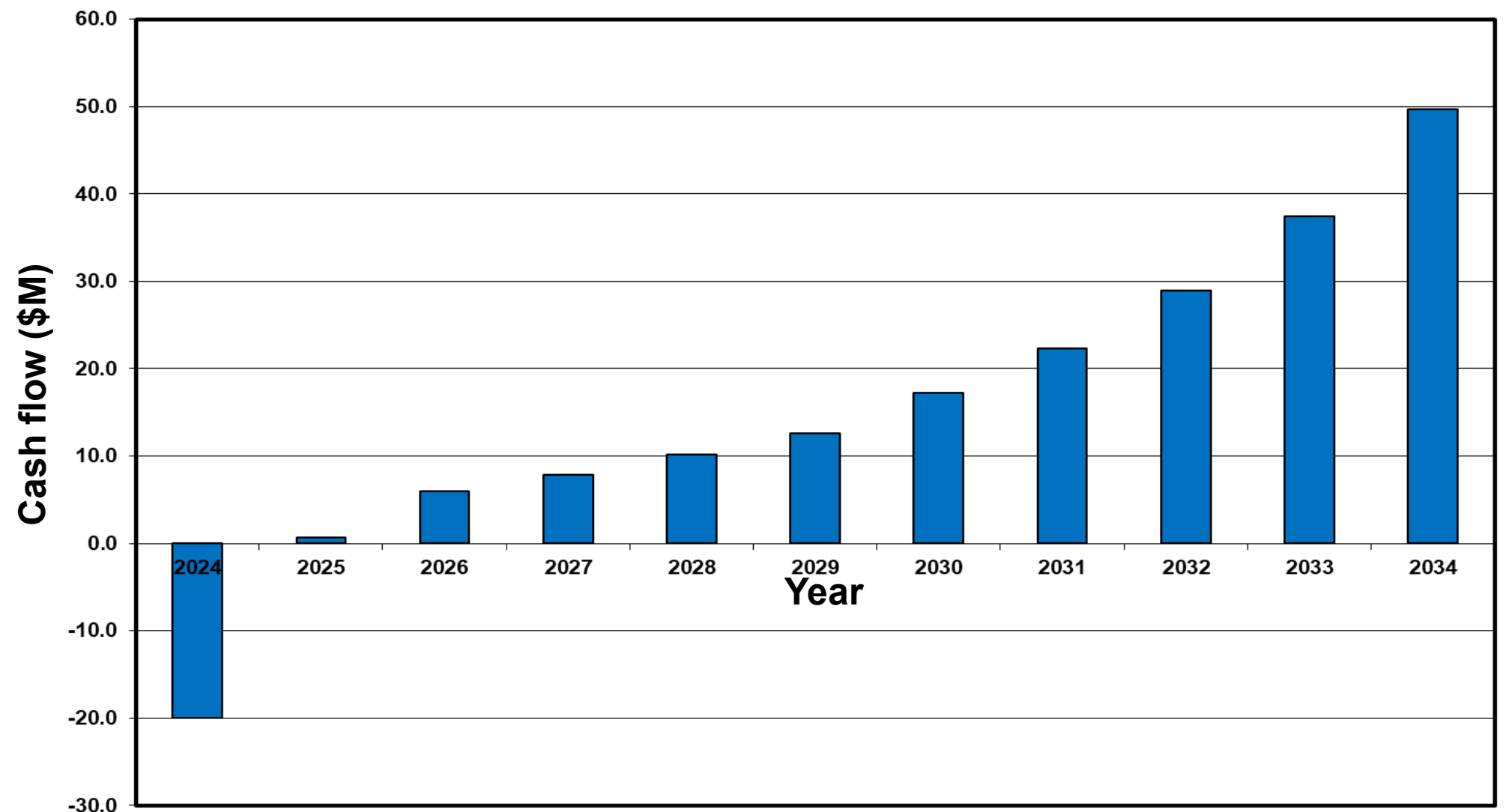
Benefits (Revenue)

- Similarly we can draw the benefits for this venture



Cost vs Benefits

- Here we can see cost vs benefits
- Now does this project make sense:
 - Is it a good idea to go ahead with this business idea
 - Would you invest in it?!



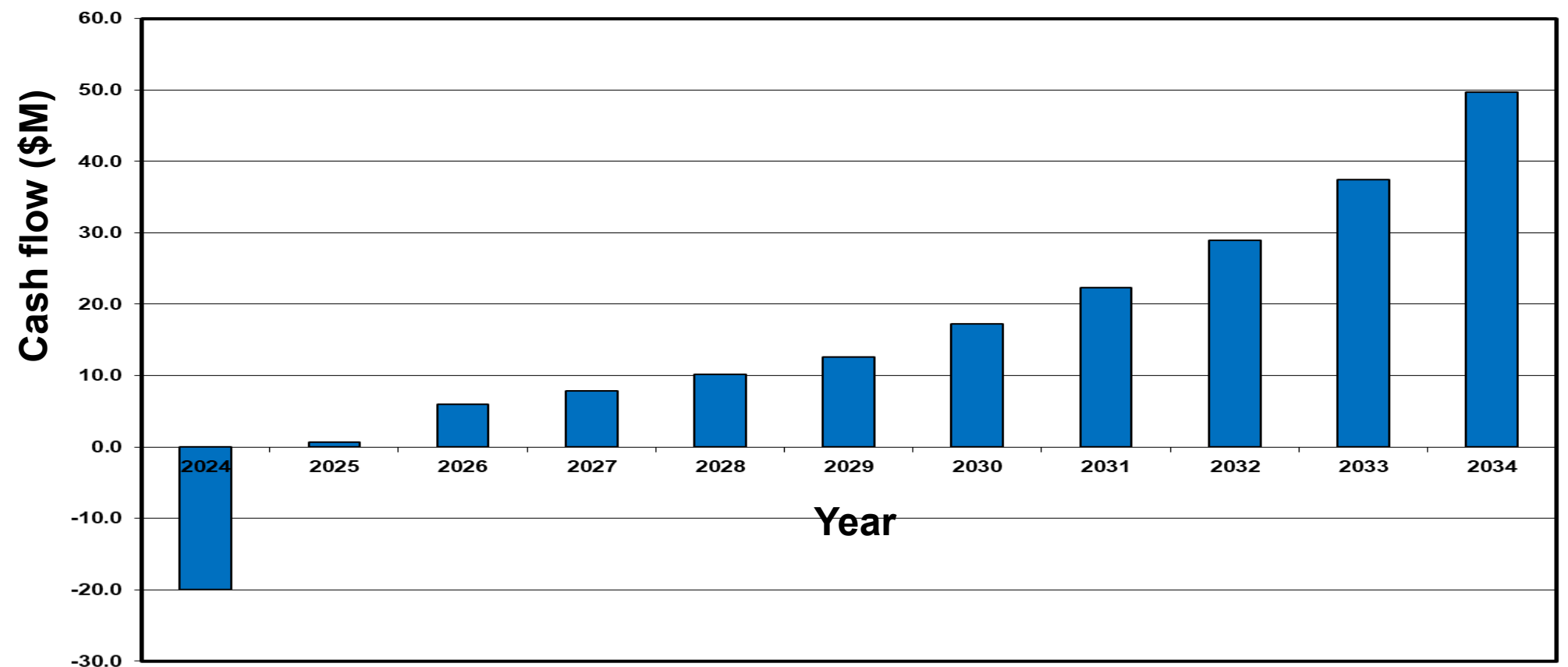
Well, It Depends!

- We need to consider the cost of capital
- Depending on the risk, and the money we need to borrow this may be a good investment
- Remember there is also “opportunity cost”
 - We may invest our money in a better venture...

Net Present Value (NPV) Calculation

- Present value analysis translates future cash flows by the interest rate to show how much value they have in terms of today's money (V_y is total cash flow (net value) in year y , and i is the interest rate):

$$NPV = \sum_{y=0}^Y V_y \cdot \left(\frac{1}{1+i} \right)^y$$



Internal Rate of Return (IRR)

- Internal rate of return is the interest rate that makes the net present value become zero

$$NPV_{IRR} = \sum_{y=0}^Y V_y \cdot \left(\frac{1}{1+I} \right)^y = 0$$

where I is the internal rate of return interest rate

- IRR is very useful as it allows us to compare the value of projects based on their expected return
- Both NPV and IRR are functions in Microsoft Excel and can be calculated readily

Interest Rate?

- How do we determine what the interest rate for a company must be?!
 - Very difficult!
 - One way a company borrows money is through the money market
 - Companies borrow money in a similar manner to governments: through bonds
 - Their interest rate is usually higher – depends on the risk profile of the company
 - They can also borrow money from a bank – again a certain rate

Weighted Average Cost of Capital

- A metric exist for well established companies that shows what interest rate they should expect
- WACC is an underlying interest rate (such as bank rate) plus a risk premium
 - It is found through averaging ways a company may finance its operation
 - Through capital raise (selling shares), selling bonds, or borrowing money
- WACC is found through averaging the interest rate given the amount at that rate
 - For example, if you borrow \$10 million @ 15% from a bank, and \$20 million @ 18% in bonds, then your WACC is $(10 \times 15\% + 20 \times 18\%) / 30 = 17\%$.

Financial Statement

- All public companies must disclose their financial position regularly so the public can decide whether to invest in them or not
- Non-public companies do not need to disclose their finances publicly. However, they still need to file their statements with various regulatory bodies and report to their shareholders
- Two most common financial statement are
 - Income Statement
 - Balance Sheet

Income Statement

- Income Statement shows what an organisation has earned through selling products and what it has spent
 - **Over a period: for example, 1 September 2024 – 1 September 2025**
- It shows revenues from all the sources an organisation has
- It also shows the cost of selling products (variable costs)
- As well as all the associated operational costs (fixed costs for example)

Technology One

- Technology One is a publicly traded company providing B2B integration solution to companies

Consolidated income statement

For the year ended 30 September 2024

	Notes	30-Sep-24 (\$'000)	30-Sep-23 (\$'000)
Revenue - SaaS and continuing business		505,603	426,379
Revenue - Legacy licence business		933	2,999
Revenue from contracts with customers	5	506,536	429,378
Other income	5	8,890	11,985
Variable costs		(23,168)	(21,031)
Variable customer SaaS costs		(37,990)	(34,863)
Total variable costs		(61,158)	(55,894)
Occupancy costs		(3,743)	(3,304)
Corporate costs		(37,303)	(32,305)
Depreciation and amortisation	6	(68,773)	(53,502)
Computer and communication costs		(10,283)	(9,715)
Marketing costs		(14,829)	(13,724)
Employee costs	6	(155,523)	(135,115)
Share-based payments	6	(8,296)	(5,827)
Finance expense		(2,644)	(2,123)
Total operating costs		(301,394)	(255,615)
Profit before income tax		152,874	129,854
Income tax expense	7	(34,860)	(26,978)
Profit for the year		118,014	102,876
		Cents	Cents
Basic earnings per share	30	36.24	31.71
Diluted earnings per share	30	36.03	31.54
Diluted earnings per share	31	31.54	27.38

Balance Sheet

- A balance sheet (or a statement of financial position) is a report that summarized what an organization has and what it owes others
- It basically is a snapshot showing what assets and liabilities an organization has:
 - **At a specific moment in time: for example, 1st of September 2025.**
- As an entity all the assets owned are balanced by what it owes to others
 - These may be liabilities – bank loans, suppliers that need to be paid, etc.
- Net assets generally equate to shareholders equity. Basically, the shareholders of the company own the net assets.
 - That is why it is balanced: net assets = equity

Assets

- Assets may be
 - Current – can easily be converted to cash. For example, money in the bank, or shares in publicly traded companies
 - Non-current – cannot be easily converted to cash. For example, a factory, computer equipment, products that are still to be sold, etc.
 - Intangible assets are a special class: patents, trademarks, goodwill, etc.
 - Non-financial models are still nascent...

Liabilities

- Liabilities are what one owes. For example, we may owe
 - Money to our suppliers
 - Taxes we need to pay
 - Loans we have from the bank
- These also may be
 - Current: need to be paid in a short timeframe
 - Non-current: payments are not due anytime soon

Tech One

■ Assets

Consolidated statement of financial position

As at 30 September 2024

	Notes	30-Sep-24 (\$'000)	30-Sep-23 (\$'000)
ASSETS			
Current assets			
Cash and cash equivalents	8	55,208	198,265
Financial assets	9	223,481	25,000
Prepayments		26,793	25,151
Trade and other receivables	10	67,546	62,416
Contract assets	11	20,818	22,891
Other current assets	12	1,457	1,127
Contract acquisition costs	14	11,790	9,576
Total current assets		407,093	344,426
Non-current assets			
Property, plant and equipment	13	15,520	13,315
Right-of-use assets	20	51,645	22,641
Intangible assets	14	57,995	59,510
Capitalised development	14	173,035	148,618
Deferred tax assets	15	23,202	21,382
Contract assets	11	2,556	3,618
Contract acquisition costs	14	26,394	23,227
Total non-current assets		350,347	292,311
Total assets		757,440	636,737

Tech One

- Liabilities and equity

LIABILITIES

Current liabilities

Trade and other payables	16	33,172	49,247
Provisions	17	23,694	21,277
Deferred revenue	18	246,335	214,495
Current tax liabilities		12,489	9,923
Lease liability	20	7,096	8,894
Total current liabilities		322,786	303,836

Non-current liabilities

Provisions	19	2,779	2,565
Other non-current liabilities		42	68
Lease liability	20	52,571	24,262
Total non-current liabilities		55,392	26,895

Total liabilities

Net assets

EQUITY

Contributed equity	21	77,321	67,466
Other reserves	22	118,099	99,604
Retained earnings		183,842	138,936
Total equity		379,262	306,006

Metrics of Interest

- Financial statements are very valuable as one tries to evaluate the financial health of an organisation
 - Longitudinal analysis
 - Comparative analysis with other organisations
 - Risks of default

Longitudinal Analysis

- How is the organisation doing over the years
 - Total Assets
 - Revenue
 - Cost of operation
 - Etc

Comparative Analysis

- Return on Assets (ROA) is a metric that shows how much a company has earned by employing its assets over a period of time
- It is found by dividing Net Income (net of costs of sales, taxes and interest) by average total assets
 - For example: assets at the beginning of the financial year + end of financial year divided by 2
- ROA is useful as you can use it to compare two similar companies
- Or use it to assess the company's performance over the years
- Another metric is Return on Equity – similar but focuses on the money out in by investors

Risk of Default

- Another metric is how an organisation is placed to pay its debts
- Interest Coverage Ratio shows how well a company may pay its debts
- It is calculated by dividing earnings before interest and taxes by its interest bill
- For example:
 - A company's earnings are \$2.5 million
 - It has borrowed \$10 million at a WACC of 12.5%
 - The interest bill is: \$1.25 million
 - Interest Coverage Ratio = 2. (Pretty uncomfortable I'd say! But a Ratio of 1.5 is usually acceptable for major companies.)

Summary

- Interest rates is one factor to determine whether a project gets the go ahead
 - One may choose to undertake a different activity with the money one has
- Financial statements are an important document
 - They are required by regulatory bodies
 - They can quickly show how well a company is doing